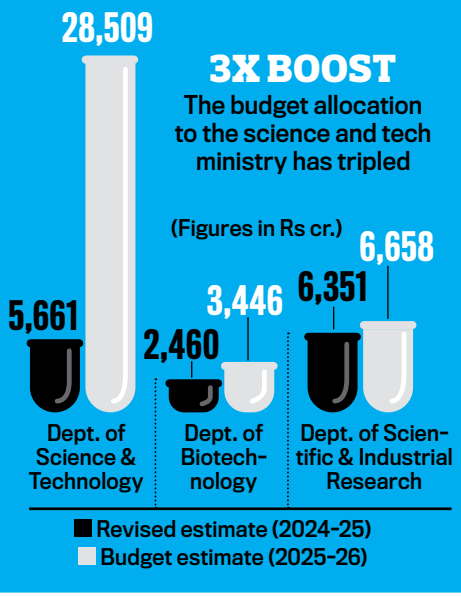
SCIENCE & TECH

KICKSTARTING PRIVATE R&D



The Union ministry of science and technology, the country's biggest civilian funder of basic science research, has got a big boost with an allocation of Rs 38,613 crore. That's nearly three times the Rs 14,472 crore it received in the revised estimates for 2024-25. At Rs 20,000 crore, more than half of this corpus goes to the Department of Science and Technology (DST) to kickstart the "private sector-driven Research, Development and Innovation (RDI) initiative". Announced for the first time in the July budget last year, this fund is eventually planned to have a massive Rs 1 lakh crore pool.

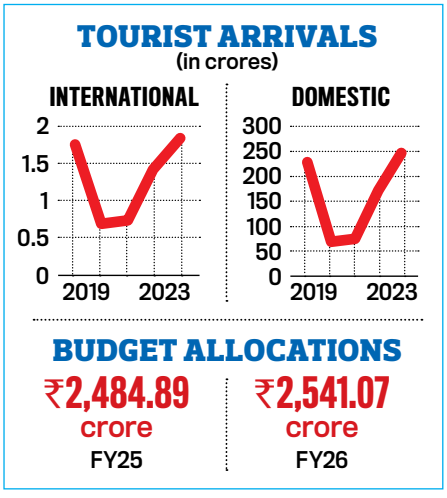


TOURISM

TRANSFORMING 50 HOLIDAY HOT SPOTS



The Union budget has announced plans to develop 50 top tourist destinations in collaboration with the states. Alongside, the government has also introduced complementary measures to spur tourism. Recognising the shortage of branded hotels, the hospitality industry at these destinations have been accorded infrastructure status. Understanding that new hotels in these 50 destinations will take time, the budget proposes an innovative solution—Mudra loans for homestays. This will bridge the accommodation gap and also spur local entrepreneurship and support small businesses in remote areas.



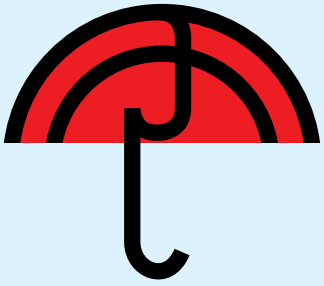
The hospitality industry at these 50 tourist destinations has got infrastructure status to fast-track sectoral growth

THE BENEFITS

Granting infrastrucure status means that hotels will benefit from lower financing costs, lower land and electricity expenses and other incentives, which will fast-track sectoral growth. Currently, Indian hotels face high entry barriers, with soaring real estate prices and cumbersome loan processes significantly driving up costs. The demand-supply gap leads to expensive hotel tariffs, often pushing domestic travellers to opt for international vacations in more affordable destinations like Vietnam and Thailand. Additionally, to enhance connectivity and make these destinations more accessible, the UDAN scheme—which has connected 88 airports—will play an important role. So, 120 new destinations will be added, with the goal of transporting 40 million passengers over the next decade. By expanding air travel to smaller airports in hilly regions, this initiative will open up remote corners of the country to tourism. ■

FINANCE

FREEING UP INSURANCE



The budget opens the insurance sector to 100 per cent foreign direct investment (FDI), up from the previous 74 per cent limit, provided foreign investors reinvest premiums collected in India. Amendments to key laws, including the Insurance Act of 1938, are required, with the draft already cleared by Parliament's select committee last year. It is likely to be reintroduced in the ongoing session.

THE BENEFITS

With half of India's population estimated to be still uninsured, the goal is to build a robust insurance ecosys-